Coverage and Contingent Liabilities

The NFPS debt includes all financial obligations of the central government and subnational governments as well as central bank loans to non-financial SOEs and two public funds—Fondo Nacional de Desarrollo Regional, which supports local governments, and Fondo para la Revolución Industrial Productiva, which supports SOEs.

Bolivia Public Sector Debt Sustainability Analysis (DSA) - Baseline Scenario

(in percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

	Actual			Projections					
	2009-2017 [2/]	2018	2019	2020	2021	2022	2023	2024	2025
Nominal gross public debt	40.0	53.8	57.5	64.9	66.1	66.3	66.1	65.8	65.2
Public gross financing needs	5.3	9.7	9.9	10.7	10.5	9.8	8.9	8.3	7.5
Net public debt	20.6	41.6	46.8	55.3	58.7	60.7	61.5	61.8	61.5
Public debt (in percent of potential GDP)	40.2	55.8	59.3	63.0	64.0	64.9	65.1	65.1	64.7
Real GDP growth (in percent)	4.8	4.2	2.8	-2.9	2.8	4.2	4.0	3.7	3.7
Inflation (GDP deflator, in percent)	4.0	3.1	2.1	3.1	4.1	3.9	4.2	4.2	4.1
Nominal GDP growth (in percent)	9.1	7.4	4.2	-2.6	6.8	7.4	7.8	7.3	7.3
Effective interest rate (in percent) [4/]	3.3	2.5	2.6	2.6	2.6	2.7	2.8	2.9	3.0

As of March 10, 2020

Sovereign Spreads		
EMBIG (bp) 3/		445
5Y CDS (bp)		N/A
Ratings	Foreign	Local
Moody's	B1	Ba3
S&Ps	BB-	BB-
Fitch	B+	BB-

Contribution to Changes in Public Debt

	Actual			Projections							
	2009-2017	2018	2019	2020	2021	2022	2023	2024	2025	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	1.6	2.6	3.6	7.4	1.2	0.3	-0.3	-0.3	-0.6	7.7	
Identified debt-creating flows	-1.0	4.6	4.5	7.2	2.7	1.0	0.1	-0.4	-1.0	9.5	
Primary deficit	1.1	7.0	5.7	5.8	5.3	4.4	3.4	2.7	2.0	23.7	-3.0
Primary (noninterest) revenue + grants	35.9	29.0	28.1	27.3	26.2	26.4	26.5	26.5	26.5	159.4	
Primary (noninterest) expenditure	37.0	35.9	33.8	33.2	31.5	30.7	29.9	29.2	28.5	183.0	
Automatic debt dynamics [5/]	-2.0	-2.3	-1.2	1.4	-2.7	-3.4	-3.4	-3.1	-3.0	-14.2	
Interest rate/growth differential [6/]	-1.9	-2.3	-1.2	1.4	-2.7	-3.4	-3.4	-3.1	-3.0	-14.2	
Of which: real interest rate	-0.2	-0.3	0.2	-0.3	-1.0	-0.8	-0.9	-0.9	-0.8	-4.6	
Of which: real GDP growth	-1.7	-2.0	-1.4	1.7	-1.7	-2.6	-2.4	-2.3	-2.3	-9.6	
Exchange rate depreciation [7/]	0.0	0.0	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	-0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Fiscal, Expenditures, Nationalization cost (negative)	-0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Please specify (2) (e.g., ESM and Euroarea loans)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes [8/]	2.6	-2.0	-0.9	0.2	-1.4	-0.7	-0.3	0.1	0.4	-1.8	

Source: IMF staff.

1/ Public sector is defined as the consolidated public sector. Public debt includes SOEs' borrowing from the BCB but not from other domestic instituions.

2/ Based on available data.

3/ Long-term bond spread over U.S. bonds.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes changes in the stock of guarantees, asset changes, and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

Heat Map

Debt level [1/]	Real GDP Growth Shock	Primary Balance Shock	Real Interest Rate Shock	Exchange Rate Shock	Contingent Liability shock
Gross financing needs [2/]	Real GDP Growth Shock	Primary Balance Shock	Real Interest Rate Shock	Exchange Rate Shock	Contingent Liability Shock
Debt profile [3/]	Market Perception	External Financing Requirements	Change in the Share of Short-Term Debt	Public Debt Held by Non-Residents	Foreign Currency Debt

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